MODULE 4 – SEBI REGULATIONS

Main Questions

Question 1 (C1 & C3) (7M) (Dec 2023 PQ)

An issuer cannot make public issue or right issue of equity shares and convertible securities under certain conditions. Explain that condition for a public issue or right issue of equity shares and convertible securities.

Answer

An issuer shall not be eligible to make an initial public offer:

a) if the issuer, promoters, promoter group, directors or selling shareholders or of any other company debarred by SEBI from accessing the capital market.
b) If the issuer or any of its promoters or directors, is a wilful defaulter or fraudulent borrower.
c) If there are any outstanding convertible securities or any other right which would entitle any person with any option to receive equity shares of the issuer, unless they are converted before initial public offer.

An issuer making an initial public offer shall ensure that:

a) It has made an application to one or more recognised stock exchanges to seek an in-principle approval for listing.
b) It has entered into an agreement with a depository for dematerialisation of the securities already issued and proposed to be issued.
c) All the securities held by the promoters are also dematerialised.
d) All its existing partly paid up equity shares have either been fully paid up or forfeited.
e) It has made firm arrangements of finance through verifiable means towards 75% of the state means finance for a specific project proposed to be funded from the issue proceeds, excluding the amount to be raised through the proposed public issue or through existing internal accruals.
f) The amount for general corporate purposes, as mentioned in the objects of the issue in the offer document shall not exceed 25% of the amount being raised by the issuer.

An issuer shall be eligible to make an initial public offer only if:

a) It had net tangible assets of at least ₹ 3 crores in each of the preceding 3 full years, of which not more than 50% are held in monetary assets, if not, such excess is to be utilised in its business or project.
b) It has an average operating profit of at least ₹ 15 crores during the preceding 3 years, with operating profit in each of these preceding 3 years.
c) It has net worth of at least ₹ 1 crore in each of the preceding 3 full years
d) If it has change its name within the last 1 year, at least 50 % of the revenue for the preceding 1 full year has been earned by it from the activity indicated by its new name.

An issuer not satisfying the above monetary conditions shall be eligible to make an initial public offer only if the issue is made through the book-building process and the issuer undertakes to allot

at least 75% of the net offer to qualified institutional buyers and to refund the full subscription money if it fails to do so.

Question 2 (C5) (4M) (Dec 2018 Old PQ)

Write a small note on differential pricing.

Answer

Differential pricing refers to the practice of offering securities at different prices to different categories of investors during an issuance, such as an Initial Public Offering (IPO).

An issuer may offer equity shares and convertible securities at different prices, subject to the following condition:

a) Retail Investors and Employees: Equity shares can be offered at not more than 10% discount on the issue price to the retail investors or employees.

b) Anchor Investors: in case of a book built issue, the price of the equity shares and convertible securities offered to an anchor investor cannot be lower than the price offered to other applicants.

c) Alternate Book Building: The issuer may offer specifies securities to its employees at a price lower than the floor price, However, the difference between the floor price and the price at which equity shares and convertible securities are offered to employees should not be more than 10% of the floor price.

d) Face Value Criteria: If the issue price is ₹ 500 or more per share, the face value may be less than ₹ 10 but not less than ₹ 1.

Question 3 (C6) (SM) (4M) (June 2023 Old PQ) (June 2019 Old PQ)

What do mean by "lock in period"?

(or)

Write short notes on – Lock-in of specified securities held by promoters.

Answer

a) A lock-in period refers to a predetermined duration during which investors or shareholders are restricted from selling, transferring, or disposing of their securities.

b) This restriction is often imposed to ensure market stability, prevent excessive volatility, and align the interests of stakeholders.

c) The Promoters of the issuer shall hold at least 20% of the post issue capital in an initial public offer.

d) The Minimum Promoter's contribution shall be locked-in for a period of 18 months from the date of allotment in the initial public offer.

e) The Promoter's holding in excess of the minimum promoter's contribution shall be locked in for a period of 6 months

f) If the majority of the issue proceeds (excluding offer for sale portion) are used for capital expenditure, then:

- Minimum promoters' contribution → Lock-in increases to 3 years (instead of 18 months).
- Excess contribution → Lock-in increases to 1 year (instead of 6 months).

g) However, excess promoter's contribution in a further public offer in not subject to lock in.

Question 4 (C6) (SM)

Discuss in detail, the book building process.

Answer

Book Building Process is a process used to determine the price of an IPO based on the demand from institutional and retail investors. It is a systematic way of generating, capturing, and recording investor demand for shares. The price is not fixed initially. Instead, a price band or range is provided within which investors can bid. The final price is determined based on the bids received during the book building period.

Allocation in Net Offer to Public:

a) Not less than 35% to Retail individual investors.

b) Not less than 15% to non-institutional investors.

c) Not more than 50% to Qualified Institutional Buyers, with 5% allocated to mutual funds.

Alternate Allocation under specific conditions:

a) Not more than 10% to Retail individual investors.

b) Not more than 15% to non-institutional investors.

c) Not less than 75% to Qualified Institutional Buyers, with 5% allocated to mutual funds.

Anchor Investors: Up to 60% of the allocation for QIB may be given to anchor investors under specific conditions.

In an issue made other than through the book building process, allocation in the net offer to public category will be made as follows:

a) Minimum 50% to retail individual investors.

b) Remaining to other individual applicants and corporate bodies.

c) Unsubscribed portions may be reallocated between categories

Question 5 (C7) (7M) (MQP Dec 2024 Set 1) (MQP Dec 2023)

Discuss "connected person" in context of insider trading.

Answer

A connected person is anyone who has been associated with a company in the past 6 months, either directly or indirectly, in roles like:

a) Frequent communication with company officers,

b) Being in a contractual, fiduciary, or employment relationship,

c) Serving as a director, officer, or employee,

d) Holding a business or professional position, temporary or permanent, giving access to unpublished price-sensitive information.

Specific categories include:

i) Immediate relatives of connected persons,

ii) Holding, associate, or subsidiary companies,

iii) Intermediaries under Section 12 of the SEBI Act

iv) Directors or employees of stock exchanges, mutual funds, financial institutions, or banks associated with the company

"immediate relative" means a spouse of a person, and includes parent, sibling, and child of such person or of the spouse, any of whom is either dependent financially on such person or consults such person in taking decisions relating to trading in securities.

Question 6 (C7) (SM) (4M) (Dec 2019 Old PQ)

Define "unpublished price sensitive information".

Answer

Unpublished price sensitive information means any information, relating to a company or its securities, ,directly or indirectly, that is not generally available which upon becoming generally available, is likely to materially affect the price of the securities and shall, ordinarily including but not restricted to, information relating to the following:

a) financial results;
b) dividends;
c) change in capital structure;
d) mergers, de-mergers, acquisitions, de-listings, disposals and expansion of business and such other transactions;
e) changes in key managerial personnel; and
f) material events in accordance with the listing agreement.

Question 7 (C7) (7M) (June 2024 PQ)

A PSU awarded two contracts—one in favour of Gaman Infrastructure Project Ltd. (GIPL) and another in favour of Simple Infrastructure Ltd. (SIL). Ranjan was the CMD of GIPL at the time of award of the contract. GIPL and SIL had entered into two shareholders' agreements which were terminated later on by the GIPL Board. Ranjan sold shares of GIPL before it was intimated to the National Stock Exchange. SEBI charged Ranjan as guilty of insider trading. However, Ranjan took a plea that this was necessary as part of corporate restructuring to prevent GIPL parent company from going into bankruptcy, which was factually found to be correct.

Examine the following issues:

i) Is Ranjan an insider in this case? What is his liability, if any?
ii) What is the meaning of Unpublished Price Sensitive Information?
iii) Are the charges of SEBI correct?

Answer

(i) Insider means any person who is:

a) a connected person; or
b) in possession of or having access to unpublished price sensitive information;

Since Ranjan was the CMD having possession of the unpublished information, he is an insider. Listed entities shall have a process for how and when people are brought inside on sensitive

transactions. Individuals should be made aware of the duties and responsibilities attached to the receipt of Inside Information, and the liability that attaches to misuse or unwarranted use of such price sensitive information.

(ii) Unpublished price sensitive information means any information, relating to a company or its securities, ,directly or indirectly, that is not generally available which upon becoming generally available, is likely to materially affect the price of the securities and shall, ordinarily including but not restricted to, information relating to the following:

a) financial results
b) dividends
c) change in capital structure
d) mergers, de-mergers, acquisitions, de-listings, disposals and expansion of business and such other transactions
e) changes in key managerial personnel and
f) material events in accordance with the listing agreement.

In this case the cancellation of agreement is having material impact also.

(iii) Correctness of charges of SEBI

On the one hand there is clear insider trading but on the other hand the motive is important. In a case, Supreme Court held that although the information was price sensitive , Ranjan's sale was a case of —distressed Sale and cannot be considered as —insider trading (SEBI vs Abhijit Ranjan).

Although superficially it tantamount to violation but as per orders and derivation of court the motive of sale is considered and Ranjan is exonerated. Hence SEBI's charges will not hold good.

Question 8 (C7) (7M) (MQP June 2025) (MQP June 2024)

Discuss the various restrictions which were imposed on communication and trading by insiders.

Answer

Restrictions on Communication and Trading by Insiders

a) Insiders cannot share, procure, or allow access to UPSI unless it's for legitimate purposes. The board of directors must establish a policy defining "legitimate purposes" in the company's "Codes of Fair Disclosure and Conduct."
b) Insiders must be given a notice to maintain the confidentiality of UPSI as per the regulations.
c) UPSI may be shared or accessed in connection with a transaction that:
   - requires an open offer, or
   - is deemed by the board to be in the best interest of the company, with the information made publicly available at least 2 trading days before the transaction.
d) The organization must maintain a structured digital database of UPSI with adequate controls, preserved for at least 8 years, or longer if an investigation occurs.
e) Insiders cannot trade securities listed or proposed for listing while in possession of UPSI.
f) Connected persons must prove they were not in possession of UPSI, while in other cases, the Board carries the burden.

Question 9 (C8) (7M) (Dec 2024 PQ) (8M) (June 2023 PQ)

Describe Insider Trading as regulated under SEBI (Prohibition of Insider Trading) Regulations, 2015. What Institutional mechanism are to be placed by a listed company to check, control and curb Insider Trading?

(or)

Describe the various steps to be taken by a listed company in prevention of insider trading.

Answer

Insider trading, also known as insider dealing, is the malpractice of selling or buying securities such as equity and bonds by the insiders of a company, which includes the employees, directors, executives and promoters.

The following steps need to be taken by the Management of a Listed Company to prevent insider trading which can also be referred as Institutional Mechanism to counter Insider trading:

a) The Chief Executive Officer shall put in place adequate and effective system of internal control for compliance.
b) The Audit Committee shall review compliance with the provision of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.
c) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information which shall be approved by the Board of directors and accordingly initiate appropriate inquiries in time and inform the Board promptly of the status.
d) The listed Company shall formulate whistle- blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

If an inquiry has been initiated by a listed Company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co-operate with the listed company in connection with such an inquiry

Question 10 (C11&12) (7M) (June 2025 PQ)

Explain the obligations of the target company and obligations of acquirer and state the exemptions conferred under the SEBI Regulations.

Answer

Obligations of the target company

a) the board of directors shall ensure that during the offer period, the business is conducted in the ordinary course consistent with past practice.
b) the target company shall be prohibited from taking any corporate action on or after the 3rd working day prior to the commencement of the tendering period and until the expiry of the tendering period.
c) furnish to the acquirer within 2 working days from the identified date, a list of shareholders as per the register of members of the target company.

d) during the offer period: unless the approval of shareholders of the target company by way of a special resolution by postal ballot is obtained, the board of directors of either the target company or any of its subsidiaries shall not — alienate any material assets.

Obligations of the acquirer

a) To ensure that financial arrangements have been made for fulfilling the payment obligations under the open offer.
b) to ensure that any statutory approvals for the open offer that may be necessary are fulfilled.
c) acquirer shall not alienate any material assets of the target company or of any of its subsidiaries, unless the acquirer the acquirer has not declared an intention in the detailed public statement and the letter of offer. If such intention wasn't declared, then for alienation - special resolution via postal ballot is required and notice must mention the reasons for such alienation.
d) the acquirer and persons acting in concert with him shall not sell shares of the target company held by them, during the offer period.
e) the acquirer and persons acting in concert with him shall be jointly and severally responsible for fulfillment of applicable obligations under takeover code.

Exemptions

The following types of acquisition shall not come under the purview of this regulation

a) acquisition in the ordinary course of business by
b) Underwriter registered with SEBI
c) Stock Broker registered with SEBI
d) merchant banker registered with the Board
e) acquiring shares pursuant to an agreement of disinvestment to Reconstruction / Merger / Reconstruction/Merger/Amalgamation / Demerger under order of Court to provisions of Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 to provisions of Delisting of shares Upon Share Forfeiture of Equity Shares by a Company.

Additional Questions

Question 1 (OS) (6M) (June 2017 Old PQ)

Explain briefly the purpose of establishing SEBI.

Answer

The purpose of the SEBI Act is to provide for the establishment of a Board called Securities and Exchange Board of India (SEBI).

The Preamble to the Act provides for the establishment of a Board to:

a) Protect the interests of investors in securities.
b) Promote the development of the securities market.
c) To regulate the securities market.

The Securities and Exchange Board of India was set up to achieve the following objectives:

(i) To promote fair dealings by the issuers of securities and ensure a market place where they can raise funds at a relatively low cost.

(ii) To provide, a degree of protection to the investors and safeguard their rights and interests so that there is a steady flow of savings into the market.

(iii) To regulate and develop a code of conduct and fair practices by intermediaries like brokers, merchant bankers, etc., with a view to making them competitive and professional.

Question 2 (OS) (4M) (June 2023 Old PQ) (June 2018 Old PQ)

Write Short notes on – Types of Listing

Answer

a) Initial listing: If the shares or securities are to be Listed for the first time by a company on a stock exchange is called initial listing.

b) Listing for Public Issue: When a company whose shares are listed on a stock exchange comes out with a public issue of securities, it has to first such issue with the stock exchange.

c) Listing for Rights Issue: When companies whose securities are listed on the stock exchange issue further securities to existing shareholders on rights basis, it has to list such rights issues on the concerned stock exchange.

d) Listing of Bonus Shares: Companies issuing shares as a result of capitalization of profits through bonus issue shall fist such issues also on the concerned stock exchange.

e) Listing for merger or amalgamation: When new shares are issued by an amalgamated company to the shareholders of the amalgamating company, such shares are also required to be listed on the concerned stock exchange.